

Most start-ups fail. Many more never get much beyond the first stage, earning a living for the CEO but not much more.

The second stage is where the entrepreneur creates a real business. And that requires other talents. Most often, it requires real businesspeople who are capable of managing the key business processes: production, quality control, and sales.

The essential formula should already be in place. But the managers should refine it and make it profitable. Their goal is to build a real business producing real profits.

The third stage is where the business grows beyond the founder and its initial managers. Often, the founder—who tends to be a maverick, an eccentric, and often a royal pain in the derriere for his more mainstream managers—gets edged out.

This is a key challenge for family businesses. The goal of the family is not necessarily to manage the business itself, but it must understand it intimately and control it completely. Family members don't have to occupy all the top jobs in a family business, but the business must respond to the needs and goals of the family, and not necessarily its managers or outside stockholders.

This is a critical difference between family businesses and other businesses. The family business is the repository of family capital, the employer of family members, and the main source of revenue for the family itself. That's why it exists. And it's why the family must understand it and control it.

A normal business—especially one that is traded on public markets—answers to shareholders, but only indirectly and vaguely. Frequently, it operates for the benefit of its managers, not shareholders. Managers of large public companies answer to boards of directors whom they, typically, appoint. That is how someone such as Bill Weldon was able to earn \$28 million in compensation as CEO of a pharmaceutical company last year.² He certainly wasn't worth that much. No one is.

True, the shareholders have a right to change board members or managers. But large groups of shareholders are like large groups of voters. They have little independent knowledge and little wherewithal to contradict the experts. So the managers tend to pay themselves far more money than